

ARM-2417 | PCO-017

Commercial evidence and June close assessment - Cascade Health Ambulatory Pavilion

Prepared by	Commercial Management with Project Accounting
Cutoff	June 30, 2026
Project manager	Maya Chen
Commercial status	Submitted
Purpose	June WIP evidence; not an executed contract modification

Executive assessment

No executed revenue authorization existed at June 30. The work plan nevertheless indicates \$275,000 of probable cost exposure; Finance should reflect that cost in EAC without increasing current contract value.

Documented facts

Item	Current evidence
Requested revenue	\$382,000 submitted; no executed bilateral change order
Probable cost	\$275,000 after-hours labor, supervision and temporary logistics
Authorization	Owner requested pricing and schedule alternatives; directive to proceed is not in the file
PM forecast	June PM ETC states the night-shift premium is not included
June close implication	Exclude pending revenue; include probable unavoidable cost in EAC

Chronology

Date	Source	Event / evidence
2026-06-09	Coordination meeting	Owner team requested an after-hours phasing alternative for occupied OR areas.
2026-06-14	ARM estimate	Operations quantified premium supervision, night differential and temporary containment.
2026-06-17	PCO submission	ARM transmitted \$382,000 pricing with exclusions and a 21-day validity period.
2026-06-27	Owner email	Owner acknowledged receipt and continued review; no notice to proceed or price acceptance.

Close-use checklist

This packet supports estimate judgment but does not replace the executed contract, accounting-system contract report, or Controller approval.

- Verify posted cost and billings through the close cutoff using Vista ERP.
- Confirm whether the exposure is already included in the PM forecast ETC.
- Exclude unexecuted revenue from current contract value unless the Controller documents a specific exception.
- Include unavoidable forecast cost when the evidence indicates the work or obligation is probable.
- Retain this packet with the final WIP schedule and proposed journal entry support.

Approval status

Project manager	Reviewed for scope and estimate; no authority to change accounting conclusion
Commercial manager	Evidence compiled; contract modification not executed at cutoff
Controller	Close treatment to be applied in the June WIP workpaper
Vista ERP	No change to current contract value from this packet alone

Attachment index

A. Pricing summary and internal estimate | B. Correspondence log | C. Field/engineering summary | D. Close-treatment note

Attachment A — pricing / cost build-up (working)

Copied from the commercial estimate. This page contains internal allowances and rounding; it is not customer-facing pricing and does not establish entitlement.

Cost code / work package	Labor	Material / sub	OH / markup	Working total
Night-shift field labor / premium	\$128,400	\$—	\$12,840	\$141,240
Supervision and coordination	\$58,400	\$—	\$5,840	\$64,240
Containment and temporary logistics	\$9,000	\$44,750	\$4,475	\$58,225
Commissioning and close support	\$6,200	\$3,700	\$395	\$10,295
Probable cost exposure	\$202,000	\$48,450	\$24,550	\$275,000

Loose estimate notes

Labor productivity assumes uninterrupted access. Freight and escalation were carried from the 6/21 estimate. One subcontract quote expired at month end. PM forecast treatment must be checked independently; this attachment includes both commercial pricing and cost concepts.

Attachment B/C — correspondence and field record excerpts

EXCERPTS / NOT COMPLETE CORRESPONDENCE FILE

6/11 07:42	Field: access sequence changed; superintendent requested cost capture.
6/17 16:08	Commercial: pricing transmitted with exclusions and validity period.
6/27 09:14	Owner/GC: receipt acknowledged; commercial acceptance not provided.
6/30 15:36	Project accounting: no executed change located in contract folder.

Reviewer marks

PR 6/30 — scope support adequate for probable-cost review; entitlement remains open. NB 7/1 — trace ETC inclusion before final WIP. DC — do not present this packet as an approved change order.